

going through a bidding process,” says Aashit Shah, Partner at law firm JSA.

Under the Swiss challenge mechanism, there is an open bidding process. “Fear of losing control may delay early recognition of stress and the initiation of pre-pack by promoters,” says Bhruvesh Amin, Partner at BDO Restructuring Advisory LLP.

Experts suggest the solution lies in strengthening the decision-making abilities of bankers. SAM’s Misha says it would help if there is the “concept of rating agencies or an independent committee of external experts to endorse the commercial viability of pre-pack resolution plans”.

Gupta of Sarthak suggests that the government—perhaps the banking regulator Reserve Bank of India—could reassure bankers that if a restructuring is within the commercial framework and commercially justifiable, nobody will question their commercial wisdom. That’s a tall order.

Tackling Delays

Next comes delays. According to the IBC, the NCLT should be satisfied with the existence of a default within 14 days of receiving an insolvency application. But this has often been extended to months. “There are times when creditors file objections, and courts also entertain such petitions,” says a lawyer. A lot of time is often spent to decide on whether a default has taken place. EY India’s Diwanji suggests taking the help of the RBI’s Central Repository of Information on Large Credits (CRILC). “The CRILC is the best information utility we have. We should tap into its infrastructure,” he says. Currently, the CRILC collects the credit exposure of all corporates in India.

Second, there are situations where a single judicial member or a technical member of the NCLT could be sitting on up to three benches on a particular day, which compounds the problem. “There is a need for three to four times the number of the existing benches (there are 16 currently) as these adjudi-



KANIKA KITCHLU-CONNOLLY
PARTNER, TLT’S INDIA GROUP

“Insolvency cases need timely attention because things are urgent... We are able to appoint administrators outside the courts in the UK, which means fewer delays, but we also approach them on an urgent basis”

cating authorities are also dealing with matters relating to M&As, winding up, competition commissions, etc.,” says Gupta of Sarthak. Plus, there are delays in appointing NCLT judges.

Further, the Supreme Court’s judgement in the Vidarbha Industries Power versus Axis Bank case—where the lender had initiated insolvency proceedings against the defaulting power firm—has also hit the process. The apex court, in 2022, ruled that the NCLT and the National Company Law Appellate Tribunal (NCLAT) had erred by assuming that an application to initiate the resolution

CONDUCTING THE CODE

▶ **Focus should be on operational efficiency, enterprise value and investor value creation**

▶ **CoC should respond promptly to the IBC-appointed Resolution Professional’s requirements/requests**

▶ **Sector experts from the creditor groups should be nominated to the CoC for better decision-making**

▶ **Members attending CoC meetings must have sufficient prior authorisation to take decisions and vote**